

Democracy's Value

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2 Minimalist conception of democracy: a defense¹

Adam Przeworski

What is democracy other than a set of rules ... for the solution of conflicts without bloodshed?
(Bobbio 1984: 156)

Introduction

I want to defend a “minimalist,” Schumpeterian, conception of democracy, by minimalist, Popperian, standards. In Schumpeter’s (1942) conception, democracy is just a system in which rulers are selected by competitive elections. Popper (1962: 124) defends it as the only system in which citizens can get rid of governments without bloodshed.

By “conception,” I mean a description that has value connotations, where the move from the empirical to the evaluative is definitional. Although Schumpeter (1942: 269) says that, in contradistinction to the classical doctrine, he offers “another theory which is much truer to life and at the same time salvages much of what sponsors of the democratic method really mean by this term,” following Skinner (1973: 299), I think he does more: by designating the system he describes as “democracy,” he appeals to evaluative, not just empirical, intuitions associated with this term. For one could easily say, “a system in which all people do is to choose among elites has nothing to do with ‘democracy,’ which is a system in which people rule.” Indeed, Dahl (1971: 8), who agrees with most of Schumpeter’s description, avoids making his move by reserving the concept of “democracy” to the ideal realm and inventing a neologism to designate the real world phenomenon: “since (in my view) no large system in the real world is fully democratized,” Dahl says, “I prefer to call the real world systems ... polyarchies.” So to defend Schumpeter’s conception, I need to do both: to argue that his empirical description is accurate and that what he describes merits being positively valued.

¹ I appreciate comments by Joshua Cohen, Fernando Limongi, Bernard Manin, Alberto Paredes, Ignacio Sanchez-Cuenca, and James Vreeland.

Since neither the position I wish to defend nor the claim in its favor are new, what do I defend them from? Perusing innumerable definitions, one discovers that democracy has become an altar on which everyone hangs his or her favorite *ex voto*. Almost all normatively desirable aspects of political, and sometimes even of social and economic, life are credited as intrinsic to democracy: representation, accountability, equality, participation, justice, dignity, rationality, security, freedom, . . . , the list goes on. We are repeatedly told that “unless democracy is *x* or generates *x*, . . .” The ellipsis is rarely spelled out, but it insinuates either that a system in which governments are elected is not worthy of being called “democracy” unless *x* is fulfilled or that democracy in the minimal sense will not endure unless *x* is satisfied.² The first claim is normative, even if it often hides as a definition. The second is empirical.

Now, from the normative viewpoint, we could care foremost about *x* and treat any method of achieving it as morally neutral. Then the absence of *x* would speak against the method. For example, one could assert, as Skinner (1973: 303) does, that a system in which only some people rule cannot be properly termed a genuine “democracy” even if it is a competitive oligarchy. But if elections are valuable in themselves,³ then the question arises whether there are good reasons to expect that the method of selecting governments has causal consequences for anything else. If there are no such reasons, then the critique of minimalism is purely hortatory. If elections are valuable and if they do not cause *x*, the absence of *x* is not sufficient to reject elections as a definitional feature of democracy. To bemoan perhaps yes, but to reject not.

Yet, from the empirical perspective, it may turn out that systems based on contested elections do not endure unless some *x*’s hold. If democracy must generate some conditions – say John Stuart Mill’s “high wages and universal reading” – just to last, then the minimalist defense of the minimal conception breaks down. More than elections are needed for elections to be held.

This is pretty much the outline of the chapter.

² Widely cited statements in this vein are Weffort 1992 and Schmitter and Karl 1991, but the phrase is ubiquitous. Here is Shapiro (1996: 108): “If democracy does not function to improve the circumstances of those who appeal to it, its legitimacy as a political system will atrophy.” Even Kelsen (1988 [1929]: 38) poses the threat that “Modern democracy will not live unless the Parliament will show itself an instrument appropriate for the solution of the social questions of the hour.”

³ I am not certain how this claim relates to Shapiro’s (1996) notion of democracy as a “subordinate foundational good.” If democracy is “foundational” because other good things can be expected to follow from it, then I do not think it is foundational. In turn, while I agree that democracy is neither the only nor the highest nor the most universal good, I am not certain to what values is democracy “subordinate.”

Theorems of democracy

Are there good reasons to think that if rulers are selected through contested elections then political decisions will be rational, governments will be representative, and the distribution of income will be egalitarian?

This is what I mean by “theorems”: propositions of the form “if rulers are selected by freely contested elections, then . . .” The consequences I discuss are not the only outcomes of conceivable interest. We could ask whether governments that are elected will obey laws, whether their actions will be limited in the sense that they would never do some things to citizens, whether laws passed by elected legislatures will be never collectively injurious, . . . ; I leave the list open as an invitation to the reader.

It may be that answers to such questions are conditional on some institutional features that are not universal to democracies: for example, governments may be representative only in systems characterized by “clarity of responsibility” (Paldam 1991; Powell and Whitten 1993), itself a result of majoritarian electoral rules. Yet, even if my holy grail is institutional design, I do not consider such institutional variations systematically. I ask throughout whether elections are *sufficient* to generate the particular outcomes. Thus, while I assume throughout that all of Dahl’s (1971) conditions defining elections as contested hold, my purpose is to examine the consequences of the bare fact that governments are freely elected, whatever the methods of election, other institutional features, cultural traditions, or social conditions.

My method is eclectic and opportunistic, which means that “theorems” should not be taken too seriously. Whenever the structure of the problem is sufficiently clear, I rely on deductive arguments. Whenever systematic empirical evidence exists, I bring to bear the “facts.” But I also do not shy from trusting authorities, looking for intuitions in particular historical events, or simply asserting prior beliefs.

Democracy and rationality

Is democracy rational, in the eighteenth-century sense of this term?

This is a threefold question: (1) *Existence*. Is there something that can be considered as a welfare maximum defined over the political community, some state of the world which is best for all: general will, “voeu national,” common good, public interest? (2) *Convergence*. If there is, does the democratic process identify it? (3) *Uniqueness*. Is the democratic process the unique mechanism that converges to this maximum?

The question whether democracy is rational in the sense that it

satisfies these three conditions evokes five distinct responses, depending on whether (1) (a) such a welfare maximum is thought to exist prior to and independent of individual preferences, (b) it is thought to exist only as a function of individual preferences, whatever these might happen to be, or (c) it is thought not to exist at all, because of class or some other irreconcilable divisions of society; and whether (2) the democratic process is thought to converge to the maximum.

Condorcet, as well as Rousseau,⁴ believed that the general interest is given a priori and that the democratic process converges to it. Conservatives in France and England at the time of the French Revolution, as well as contemporary ideologists of various authoritarianisms, maintain that such a prior welfare maximum does exist but that the democratic process does not lead to it. Economic theorists of democracy, notably Buchanan and Tullock (1962), held that the public interest is tantamount to the verdict of the democratic process, which thus identifies it. Arrow (1951) demonstrated that even if such a maximum does exist, no process of aggregation of ordinal preferences will reveal it.⁵ Finally, Marx and his socialist followers argued that no such general interest can be found in societies divided into classes.

The foundational argument that democracy is rational in the above sense was put forth by Condorcet in 1785 (1986): there exists some state of the world which is best for all; hence, one "correct" decision. If each individual is endowed with reason, that is, each person is more likely to vote for rather than against the correct decision, then an assembly is more likely to make the right decision than each individual separately. Indeed, as the size of the assembly increases relative to the majority required to adopt a decision, it becomes almost certain that the assembly will make the correct choice. Majority rule in a large assembly makes it almost infallible.

Condorcet's argument, known as the "jury theorem" (henceforth, CJT), states the following. Assume that there exists some correct decision for a political community, $D = C$. Let $p = \Pr\{D = C\}$ be the uniform probability that an individual votes for the correct decision. Let P_n be the probability that a majority, $m = (n+1)/2$, of an assembly of size n , votes for the correct decision, so that $P_n = \Pr(D = C) > n/2$. The jury theorem asserts that if $p > 1/2$ then (i) $P_n > p$, and (ii) $P_n \rightarrow 1$ as $n \rightarrow \infty$.

⁴ On the relation between Condorcet and Rousseau, see the exchange between Grofman and Feld (1988 and 1989) with Estlund and with Waldron (Estlund, Waldron, Grofman, and Feld 1989), and below.

⁵ While no mechanism of aggregation guarantees to generate a unique social choice, a unique welfare maximum can exist over cardinal preferences or with interpersonal comparisons. See Sen 1995 and Roemer 1996a.

Computation shows that the convergence is quite rapid: with $p = 0.55$, $P_{399} = 0.98$.

The intuition underlying this theorem relies on the stylized situation of a jury, facing a decision to convict or acquit someone charged with a crime. Presumably there is some true underlying state of affairs (guilty or not guilty) and the jury wants only to administer justice. Each juror has the same information and each can reason equally well. The probability that a majority (any combination of members that adds to a majority) will make the correct decision is then greater than the probability that each member would make it independently.

This theorem can be extended in several ways. Grofman, Owen, and Feld (1983) generalized it to a situation in which individual probabilities are not the same. They showed that when the individual probabilities are symmetrically distributed with the mean $\bar{p} > 1/2$, CJT still holds and the convergence is still rapid. Their theorem implies that collective competence may increase with the size of the assembly even if increasing the size lowers the average individual competence. Hence, democracy – collective decision-making by voting – is likely to yield decisions superior to those made by any single individual, even if the dictator is exceptionally wise. Since, as we have already seen, an assembly of the size $n = 399$ in which the average individual has only a 0.55 chance of voting correctly has a 0.98 of making a correct decision by majority rule, only a dictator with $p_i > 0.98$ would do better, and there may be no one in the population who is that wise. Hence, more stupid voters are likely to reach better decisions than a few wise ones.⁶

The Condorcet jury theorem and its extensions appear to provide powerful arguments in favor of rationality of democracy. At least when information is costless,⁷ large assemblies deciding by a simple majority rule out-perform each individual deciding separately, a random individual making the decision for all, or an oligarchy. Hence, the normative implication of the CJT is that, if there exists one correct decision for all – that is, if the democratic process is purely "epistemic," just a search for the truth – and if individuals are endowed with reason, in the precise

⁶ The CJT is based on the assumption that each individual or the average individual has enough "reason" that his or her probability of voting correctly is greater than one half. This seems to be a safe assumption but Waldron (Estlund, Waldron, Grofman, and Feld 1989) offered several arguments that we should not be sanguine about it. In fact, careful statements of this theorem make it explicit that when $p < 1/2$, $P_n < p$ and $P_n \rightarrow 0$ as $n \rightarrow \infty$. Hence, collective decision-making accentuates individual propensities both in the good and the bad direction. If individuals are more likely to vote against a correct decision, then, as Karl Pearson remarked, "... it is safer to entrust business, if it must be so, to one stupid person, than to a committee of fools" (cited by Berg 1993: 4).

⁷ Sah and Stiglitz (1988) consider the costs of information, "project evaluation" in their language.

sense that each is more predisposed to adopt than to reject a socially beneficial project, then democracy is better than alternative ways of making decisions.

But what is it that the Condorcet process aggregates? The normative force of CJT arises from the result that, if $p > 1/2$, $P_n > p$, that is, the probability that an assembly of size n will adopt the correct decision by a simple majority rule is larger than p . But what is p ? If it is indeed the probability of *voting* correctly, then it has no consequence beyond the voting process which results in P_n : it provides no counterfactual since it is relevant only when decisions are made collectively, by voting.⁸ The statement "If each individual voted independently, ..." makes no sense. Ladha's (1992) proof of CJT is revealing in this regard: he compares the expected value of the collective decision, nP_n , to the expected value of successes when each individual makes decisions independently, np . But voting to do something collectively and doing something independently is not the same, and it need have the same probability.

Assume that the decision is such that it can be made either by each individual separately or jointly by a vote.⁹ If individuals were to make decisions in a decentralized way, each deciding what to do, the collectivity would arrive at a situation that would be strictly inferior to a state of the world that could be attained if individuals voted and the decision reached by the vote were coercively enforced. Suppose that each individual decides independently whether to vaccinate him or herself against a contagious disease, where vaccination has some positive probability of triggering the illness. Each individual would prefer not to vaccinate herself if all others (or some number of others) did, and the result would be that no one would vaccinate and the disease would be widespread. Yet if individuals vote whether to impose compulsory vaccination, they unanimously decide to do so and, in the centralized equilibrium, few people suffer from the disease. They are coerced to vaccinate for their own good.

To put it generally (Runciman and Sen 1965), whenever the structure of interests in society is such that the equilibrium in dominant strategies is inefficient, the cooperative solution is not a stable aggregation of individual interests. This solution represents the collective interest and individuals will vote for it if they expect that it would be enforced, so that others will not defect. Yet this solution is the result of mapping the

⁸ One could interpret p as the probability that a randomly chosen dictator would make the correct decision. This interpretation cannot be sustained, however, in the presence of externalities.

⁹ Note that Grofman and Owen (1986: 94) define p as the probability of "*choosing* that alternative which is the preferred choice with respect to some single designated criterion by which alternatives are evaluated" (italics supplied).

collective outcome on individual *votes* but not individual *interests*, which is the point of Estlund and of Waldron (Estlund, Waldron, Grofman, and Feld 1989). Hence, the CJT does not solve the problem of aggregation of interests, only of votes. The collective decision does identify a common interest, but this common interest is not an aggregate of individual interests, for the very reason we vote is to authorize coercing all or some individuals to do what they do not want to do. As Kelsen (1988 [1929]: 23) argues, this collective decision identifies not the *volonté generale* but a *volonté étatique*: the will to exercise rule, to coerce. To cite Dunn (1996b: 29), "democracy is one (very broadly defined) form of being ruled. . . . It is not, and cannot be, an alternative to being ruled."

But the problem in identifying a common interest is not limited to strategic interdependence that requires that cooperation be coercively enforced. If that were all, one could still sensibly claim that there is some common interest by which individuals are united, in so far as that unless this interest is made to prevail, the outcome would be collectively suboptimal: one reading of Rousseau's (1984 [1762]: 66) assumption that "If there were not some point in which all interests agree, no society could exist." The real issue is that interests of different individuals, and groups, may be in conflict (Schmitt 1988: 13).

The difference between the jury and the electorate is that while the jury is faced with an issue which has one answer which is correct for all individuals, different decisions may be correct for different voters. Suppose citizens vote on one issue, taxes. Then some people inevitably gain and some lose from any course of action a government chooses. This difference led Black (1958: 163) to conclude that the CJT was irrelevant for the theory of elections:

Now whether there is much or little to be said in favor of a theory of juries arrived at in this way, there seems to be nothing in favor of a theory of elections that adopts this approach. When a judge, say, declares an accused person to be either guilty or innocent, it would be possible to conceive of a test which, in principle at least, would be capable of telling us whether his judgment had been right or wrong. But in the case of elections, no such test is conceivable; and the phrase "the probability of correctness of a voter's opinion" seems to be without definite meaning.

Miller (1986) set himself to save the CJT from this criticism. He abandoned the assumption that there exists a unique "correct decision" for all individuals, and defined the correct decision for each voter as the decision that promotes her interests. Hence, p_i is now the probability that an individual votes in favor of his or her interests. Miller then defined the correct decision for the collectivity as the decision that

would result under majority vote if everyone was certain to vote correctly. If $p > 1/2$ is the same for all voters, the CJT extends immediately: majority interest is likely to prevail, for a sufficiently large assembly the probability that it would prevail is greater than the competence of individual voters, and it increases in n , although the convergence is slower. There is, however, one important difference between the electorate and the jury theorems: while the probability that the majority interest prevails is always greater than the proportion of voters voting for the majority position, this probability need not be greater than the proportion of voters voting correctly (in support of their interests) when n is small.

Miller's is no longer an "epistemic" theory (Cohen 1986; Coleman 1989): when the minority loses, it is not because it is less well informed about the common good but because its interests are in conflict with interests of the majority. Collective decision-making may favor majority interests but the majority interest is not the common interest.¹⁰ Miller's solution is clearly unsatisfactory: promoting the interest of the majority is not the same as furthering the interest of all the members of a political community. Grofman and Feld did not do any better in their response to Estlund and Waldron (Estlund, Waldron, Grofman, and Feld 1989): all they could say is that sometimes a common interest does exist. Hence, Black's point stands: the "correctness" of collective decisions seems to be without definite meaning when this decision consists of an imposition of one interest over another.

This conclusion will be challenged by those who believe that conflicts of interests can be overcome by a public discussion about normative reasons, "deliberation": a view in which, to cite Sieyès, politics "is not a question of a democratic election, but of proposing, listening, concerting, changing one's opinion, in order to form in common a common will" (cited by Elster 1998: 3). Yet Cohen (1997) admits that there is nothing that guarantees that deliberation, even if it satisfies all of his (1989 and 1997) stipulations, will lead to a consensus about the common good. Manin (1987) concluded that while deliberation leads to the broadest agreement possible at a particular time, it stops there, leaving conflicts unresolved; and perhaps conceptions of the common good of two groups educated to believe that their interests conflict are more divergent than those based on fragmented "wanton" desires, to use a term of Hirschman (1985). After all, this was precisely Marxists'

¹⁰ Majority victory may maximize the sum of individual utilities (Dahl 1989: 143) but this sum is not increasing in welfare of each individual when there is a conflict of interest. It is not the maximum of a social welfare function.

understanding of the deliberative process: that it leads to recognizing class identity and the irreconcilability of class interests.

Thus, while I conclude that democratic decisions cannot be in general expected to be rational, this is not a deficiency of the method – making collective decisions by voting – but of the underlying structure of interests. When individual interests are harmonious to the point that individual decisions generate no externalities or when they are compatible to the point that there exists one collective interest that everyone wants to be coercively enforced, democracy generates rational decisions and does it better than alternative systems. If the everyday life of democracy consists of perpetual bickering among quarrelsome politicians, it is because interests are at stake, and interests are often in conflict.

Representation¹¹

Governments are representative if they do what is best for the people, act in the best interests of at least a majority of citizens. There are four possible reasons why governments would represent interests of the people:

- (1) Because only those persons who are public-spirited offer themselves for public service and they remain uncorrupted by power while in office.
- (2) Because, while individuals who offer themselves for public service differ in their motivations and in their competence – some candidates for office are selfless and competent and others are rascals or potential rascals – citizens use their vote effectively to select good candidates, who remain dedicated to the public service while holding office.
- (3) Because, while anyone who holds office may want to pursue some interests or values different from and costly to the people, citizens use their vote effectively to threaten those who would stray too far from the path of virtue with being thrown out of office and not being able to enjoy its fruits any longer.
- (4) Because separate powers of government check and balance each other in such a way that, together, they end up acting in people's best interest.

The first hypothesis should not be dismissed. Many persons who seek public office want to serve the public and probably some remain dedicated to the public service while in power. If I do not consider this

¹¹ This section is based on joint work with Bernard Manin and Susan Stokes. See Manin, Przeworski, and Stokes 1996.

possibility, it is because this way of securing representation is not distinctive of democracy. Dictators can be also representative: if they know and if they seek to do what people want, nothing prevents them from doing it. The connection between democracy and representation cannot depend on luck. A central claim of democratic theory is that democracy offers mechanisms that systematically cause governments to be representative.

This claim is widespread: "representation," or its cognates, is frequently treated as quintessential, if not definitional, for democracy. Thus Dahl (1971: 1) observes that "a key characteristic of a democracy is the continued responsiveness of the government to the preferences of its citizens"; Riker (1965: 31) asserts that "democracy is a form of government in which the rulers are fully responsible to the ruled"; while Schmitter and Karl (1991: 76) maintain that "modern political democracy is a system of governance in which rulers are held accountable for their actions in the public realm by citizens. . . ."

Yet representation is problematic.¹² Politicians may have goals, interests, or values of their own and they may know things and undertake actions that citizens cannot observe or can monitor only at a prohibitive cost. Politicians may be willing to do anything to be (re)elected, they may seek private gain from holding public office, or they may have some well-meaning objectives that nevertheless differ from those of citizens. If they have such motivations, they will want to do things which informed citizens would not have wanted them to do. Conversely, people may be poor judges of their own interests, and politicians, knowing what is best for the public, may still act in ways that citizens do not appreciate.

There are three, and only three, ways of assessing whether or not a government is representative, in the sense that it acts in the best interest of the public: (1) if the people (or at least a majority of them; see below) has a will, then the government is representative if it implements this will; (2) if no such will exists or at least if it cannot be expressed as a

¹² Representation entails two distinct principal-agent relations: between citizens as principals and elected politicians as agents and between politicians as principals and non-elected bureaucrats as agents. Yet citizens' control over the bureaucracy can be only indirect, since democratic institutions contain no mechanisms that would allow citizens to sanction directly legal actions of bureaucrats. Citizens can at most consider the performance of the bureaucracy when they sanction the behavior of elected politicians. As Dunn and Uhr (1993: 2) suggest, we do not even seem to know how to think about principal-agent relations involved in controlling bureaucrats: "it is by no means clear what place executive officials are meant to play as representatives of the people. Are they agents of the government or of the people? If of the former, are they primarily responsible to the executive which employs them, or the legislature which funds them?" Hence, while the bureaucracy is supposed to be responsive to citizens, it is accountable at most to politicians. I focus, therefore, on the relation between citizens and elected politicians.

mandate, but individuals are best judges of their interests, then a government is representative if it satisfies *ex post* evaluations of its actions, as evidenced by its re-election; (3) if elections neither express a prior will nor testify *ex post* to the quality of government actions, representation remains a matter of educated, but inevitably contestable, judgments of informed observers.

For all its power and subtlety, Pitkin's analysis of representation is incoherent. She assumes that "normally a man's wishes and what is good for him will coincide" (1967: 156). Yet at the same time she claims both that "the represented have no will on most issues, and the duty of the representative is to do what *is* best for them, not what they latently want" (163; italics supplied) and that the incumbent's "reelection is not absolute proof that he is a good representative; it proves at most that voters think so" (165).

But if neither voters' prospective instructions nor their retrospective evaluations can be taken as criteria of whether or not the government pursues citizens' best interests, then how can we judge if the government was representative? If people do know what is good for them, then either compliance with their prospective will or the verdict based on their retrospective evaluations must be taken as informative about the quality of governments' actions. What *is* best for the represented must be what they *say* is best, either prospectively or retrospectively.

But what if people do not know what is best for them?¹³ Let us reverse the assumptions of the principal-agent model altogether. Suppose that voters are concerned only with the change of their welfare during a particular term of office, while the representatives care also about the future, say the present value by the end of the term of future welfare. People are willing to re-elect a government that cuts all the trees in the country as long as they live on champagne while there are any trees left, while the government, having no interests of its own, wants only to do what people "ought to want" (Pitkin 1967: 162). Now a bad government cares about being re-elected and caters to voters' myopia, while a good government valiantly goes to defeat by turning the country into a national park. As Schumpeter (1942: 256) observed, "If results that prove in the long run satisfactory to the people at large are made the test of government *for* the people, then government *by* the people, as conceived by the classical doctrine of democracy, would often fail to meet it."

Yet the question remains: if not the people, then who is to judge what is best for them? This is not a rhetorical question. Stigler (1975) thought

¹³ For arguments that individual preferences are not the best standard by which to evaluate collective welfare, see several essays in Sen and Williams 1982.

it was economists (obviously of his persuasion); declaring that President Salvador Allende of Chile was "elected due to the irresponsibility of the people," Henry Kissinger must have thought it was Henry Kissinger; and I think all of us scholars with political commitments make similar judgments. Moreover, these judgments can be informed: if we have views about what people "ought to want" and if we have theories about consequences of government policies, we can arrive at informed judgments about them. But we will arrive at different judgments, for we are "people," participants rather than impartial observers.

With these terminological preliminaries, let us examine the link between elections and representation. In one view of elections, their role in inducing representation is prospective; in the second view, it is retrospective. In the prospective view, parties or candidates make policy proposals during elections and explain how these policies would affect citizens' welfare; citizens decide which of these proposals they want to be implemented, and governments implement them. Thus, elections emulate the direct assembly and the winning platform becomes the "mandate" for the government to pursue. In the retrospective view, elections serve to hold governments accountable for the results of their past actions. Anticipating retrospective judgments of voters, governments choose policies and emit messages which in their best judgment will be positively evaluated by citizens by the time of the next election. Accountability works through the anticipation by governments of retrospective evaluations of citizens (Downs 1957; Mayhew 1974; Fiorina 1981; Manin 1995).

The mandate conception of representation is widespread: scholars, journalists, and ordinary citizens rely on it as if it were axiomatic. Keeler (1993), for example, explains the major policy reforms introduced by Reagan, Thatcher, and Mitterrand as follows: their respective countries faced economic crises, voters wanted change and expressed this desire at the polls, the respective governments implemented their mandates. Yet we need to ask two questions: (1) Would voters always want governments to implement mandates? (2) Can they punish governments that betray them?

If both voters and politicians are perfectly informed, then politicians offer and voters vote for platforms that maximize their welfare. If exogenous conditions unfold according to anticipations, then voters want victorious politicians to adhere to the mandate. And if politicians have proposed policies which they actually prefer, they will adhere. This model seems to account well for policy formation in Western Europe (Klingeman, Hofferbert, and Budge 1994) as well as in the United States (Miller and Stokes 1966; Page and Shapiro 1992; Stimson,

Mackuen, and Erikson 1995). One should not be surprised it does. Representation is not problematic when politicians have policy preferences, voters vote for a platform the implementation of which maximizes their welfare, and exogenous conditions do not change.

Yet if voters are not perfectly informed, they cannot be sure that implementing the mandate is best for them. Not only may people be afraid of their own passions but, if they are rationally ignorant, they must know that they do not know. As Lippman (1956) wrote about citizens, "Their duty is to fill the office and not to direct the officeholder," and Schumpeter (1942) admonished voters that they "must understand that, once they elected an individual, political action is his business not theirs. This means that they must refrain from instructing him what he is to do. . . ." Hence, citizens may want to give the government some latitude to govern and evaluate government's actions at election times. When the government announces that the objective conditions are not what they were anticipated to be, voters are not sure if implementing the mandate is still in their best interest (see Stokes 1996 and 1997 on "policy switches"); and if implementing the mandate is not the best the government can do, then the threat of punishing incumbents who deviate from it is not credible. Voters may not like governments that betray promises, but they will not punish politicians who made them better off by deviating from them, and politicians must know that they can escape punishment for deviating from the mandate.

While various considerations may encourage adherence to electoral promises, a striking feature of democratic institutions, highlighted by Manin (1995), is that politicians are not compelled to abide by their platform in any democratic system. In no existing democracy are representatives subject to binding instructions. No national-level democratic constitution allows for recall. While provisions for impeachment and procedures for withdrawing confidence are common, they are never targeted at the betrayal of promises. Binding national referenda based on citizens' initiative are found only in Switzerland and, in more restrictive forms, in Italy and Argentina. Hence, once citizens elect representatives, they have no institutional devices to force them to adhere to promises. And electoral terms tend to be long, on average 3.8 years for legislatures and 4.9 years for presidents (Cheibub and Przeworski 1996).¹⁴ Voters can punish politicians who betray mandates only at the time of the next election, after the effects of such a betrayal have been experienced, and since such retrospective judgments are inevitably tainted by the outcomes to which deviations from mandates have led

¹⁴ Unless indicated otherwise, statistics refer to all democracies in the world between 1950 and 1990.

and by the mere passage of time, citizens cannot enforce the adherence to mandates *per se*.

Yet even if citizens are unable to control governments prospectively, they may be able to do so retrospectively, if they can force governments to account for the outcomes of their past actions. Governments are "accountable" if citizens can *discern* whether governments are acting in their best interest and *sanction* them appropriately, so that those incumbents who act in the best interest of citizens win re-election and those who do not lose them.

Politicians seeking private gains maximize the present value of the future flow of some rents, which are costly to citizens. Governments then have a one-electoral-period utility function that increases in current rents but also in the probability of re-election, which is, in turn, a decreasing function of rents. Citizens set up a mechanism that forces politicians to trade off extracting rents and losing office or not extracting rents and staying in office. To induce representation, citizens choose a voting rule that (1) meets politicians' participation ("self-selection") constraint, that is, makes it at least minimally attractive for people who have other opportunities to want to be (re)elected, and (2) meets the incentive compatibility constraint, that is, makes it in the interest of politicians to do what citizens would want them to do. As Hamilton observed, "There are few men who would not feel ... zeal in the discharge of a duty ... when they were permitted to entertain a hope of *obtaining by meriting*, a continuance of them. This position will not be disputed as long as it is admitted that the desire of reward is one of the strongest incentives of human conduct; or that the best security for the fidelity of mankind is to make their interest coincide with their duty" (Madison 1982 [1788]: Paper 72: 470).

The standard explanation of how accountability induces representation relies on "retrospective voting." In this model, citizens set some standard of performance to evaluate governments: they decide to vote for the incumbent if their income increased by at least 4 percent during the term, if streets are safe, or if the country qualifies for the finals of the World Cup. They decide to vote against the incumbent if these criteria are not fulfilled. In turn, the government, wanting to be re-elected and knowing the citizens' decision rule, does whatever possible to minimally satisfy these criteria.

To illustrate what is entailed, examine a simple model of policy choice. Suppose that the conditions under which governments operate can be "good" or "bad." Such conditions may include the contents of state coffers or the negotiating posture of international financial institutions. Governments decide whether to implement policy A which is

Table 2.1. *Payoff structure*

	Government	
	Implement	Implement
	A	B
Conditions	"Good" 1,5	3,3
	"Bad" 3,1	1,3

better for citizens when conditions are good, or policy B, which is better when conditions are bad. Finally, assume that re-election gives a bonus $V > 2$ to the incumbent. Suppose that the structure of payoffs is as shown in table 2.1 (the first number in each pair are government rents and the second number citizens' welfare).

Voters announce the following retrospective rule: "We will vote to re-elect if we get at least 5 when conditions are good and at least 3 when conditions are bad; otherwise we will throw the rascals out." Incumbent politicians compare the value to them of pursuing the policy best for voters, which gives them the rent of 1 now plus a future bonus of $V > 2$, with the rents they can extract by going down to defeat, worth a 3, and always act in the best interest of the public. Thus Key (1966), Fiorina (1981),¹⁵ Ferejohn (1986), Grossman and Noh (1990), and others all argue that retrospective voting is sufficient to enforce representation.¹⁶

But citizens often do not know whether conditions are good or bad. After all, the negotiating posture of the IMF is not something people observe, while the contents of state coffers are often deliberately obscured by the outgoing government,¹⁷ and if voters are not sure about

¹⁵ Fiorina (1981: 11): "Given political actors who fervently desire to retain their positions and who carefully anticipate public reaction to their records as a means to that end, a retrospective voting electorate will enforce electoral accountability, albeit in an *ex post*, not an *ex ante*, sense."

¹⁶ Note that incumbents never lose elections in the full information equilibrium. Since in fact 162 out of 300 incumbent prime ministers and six out of fourteen incumbent presidents went to defeat whenever they presented themselves for re-election (Cheibub and Przeworski 1996), this is clearly not a reasonable conclusion.

¹⁷ One of the peculiarities of the principal-agent relations between citizens and governments is that the principals authorize the agents to decide which rules the principals should obey and to coerce the principals to obey them (Moe 1991), and these rules include those that regulate the principals' access to information about the action of agents. Stokes (1996) cites the controversy about the true amount of public deficit in Ecuador in 1988, Bresser Pereira (1992) reports that he was told that Brazil's foreign reserves were down to nothing only when he met President Sarney after having accepted the nomination for the Ministry of Finance. Perhaps the most flagrant recent manipulation of accounting conventions occurred in France, which helped itself to Maastricht by moving some of the surplus of a state-owned firm fund to the general budget.

conditions (or about the effect of policies on outcomes), they can no longer infer whether the government acted in their best interest from observing the outcomes alone. They are in a quandary. If they set the voting rule as “‘Yes’ if at least 3,” they will allow governments to extract excessive rents under good conditions: they will get 3 whether conditions are in fact bad or good. In turn, if they set it as “‘No’ unless at least 5,” the government will have no chance to be re-elected if conditions are in fact bad and will be induced to seek excessive rents. If they do not know what the conditions are, voters can try to guess which to do but they are unable to control politicians under some conditions. Retrospective voting does not enforce representation when voters are not fully informed.¹⁸

Thus, neither prospective nor retrospective voting ensures that governments will be induced to promote best interests of citizens. And the voters’ predicament is compounded even further because they have only one instrument – the vote – with which to achieve two targets: elect a good government and create incentives for the elected government to behave well. Madison’s prescription – “The aim of every political constitution is, or ought to be, first to obtain for rulers men who possess most wisdom to discern, and most virtue to pursue, the common good of the society; and in the next place, to take the most effectual precautions for keeping them virtuous whilst they continue to hold their public trust” – hides a dilemma (Madison 1982 [1788]: Paper 57: 370). If voters use the vote to choose good governments, they must weaken the power of incentives offered to the incumbents, thus tolerating higher rents. Voters who use the vote prospectively as well as retrospectively are not irrational: if politicians are not all the same, it is better to have good ones in office. But the prospective use of the vote is costly in terms of control over the incumbents.

And what if citizens are heterogeneous, if they have conflicting interests? Note first that we are back to the conceptual drawing board. References to “people,” “individuals,” “citizens,” “voters” no longer suffice. Now “representation” means at most acting in the best interest of a majority, some majority, rather than a minority, any minority. Suppose again that informed citizens vote on one issue, linear taxes, and the majority rule equilibrium calls for a major redistribution from the

¹⁸ I used to think that the existence of an opposition is sufficient to inform voters. But predictable speech is uninformative (Austen-Smith 1990). If the government is acting in self-interest, it will offer a self-serving explanation, while the opposition, wanting to defeat the incumbent, will contest it. Since this is what voters expect both the incumbent and the opposition to do, their messages will not be credible.

rich to the poor. The government is then representative if it effectuates such a redistribution, that is, if its actions hurt a minority.¹⁹

One function of constitutions is to limit majority rule (see essays in Elster and Slagstad 1988). But, while the distinction is not unambiguous, constitutions protect at most rights, not interests. Between the democratic authorization of the majority to pursue its interests and the constitutional protection of rights, space is left for the majority to exploit the minority. Either elections are simply irrelevant or they do authorize the majority to exploit the minority, albeit within the constitutional limits. The only defense of the minority is rebellion and the only constraint on the majority is the threat of it,²⁰ and if this is true, then under the assumptions of the retrospective voting model there are two classes of equilibria: (1) if the government can satisfy the retrospective judgments of a majority without violating the constitutional limits or provoking a rebellion, it will do so by exploiting the minority and, if there is any slack, also extracting surplus rents from the majority, and (2) if either of these constraints bites, the government will, within the legal limits, dedicate itself to pursuing interests of its own or its minority cronies.

Thus, if people are not perfectly informed and if they are not homogeneous, governments may either favor interests of some majority (not necessarily the one that elected them) as well as their own at the expense of a minority, or they may pursue their own interests or values at the expense of everyone.

¹⁹ True, governments rarely admit that their actions hurt anyone. President Salvador Allende’s declaration that “I am not the President of all the Chileans” was a blunder. Edward Heath seems to have been the only politician in recent times who openly declared that he represents class interests, and he was promptly removed from office by his colleagues. Yet elections are partisan, and the differences between parties are not only epistemic: if they were, why would we repeatedly observe an association between class positions and the vote? Thus, every few years we are treated to the same spectacle: politicians campaign in elections appealing to partisan interests, only so that the elected government could claim that it represents everyone.

²⁰ Guinier (1994: 77) claims that a transient majority is constrained in its actions by the prospect that it may become a minority. This could be true if (1) because the current majority is afraid that the future majority would use the instruments of power it creates against it, the current majority delegates some of its powers to third parties (bureaucracies, courts) or (2) because “do unto others as you would have them do unto you” is an equilibrium of the repeated game. Yet she is correct that, short of constitutional limits, nothing stops a majority from exploiting a permanent minority. Consociational arrangements do limit majority rule in the presence of permanent minorities, but they are adopted where the minorities would rebel in the presence of a pure majority rule.

Equality

Does equality in the political realm lead to equality in the economic realm? The answer to this question is obvious: around 1990, the income of an average Belgian in the top quintile was 4.4 times higher than that of one in the bottom quintile, the income of a wealthy American was 9.8 times higher than that of a poor one, and the income of an average Brazilian in the top 20 percent was 26.3 times higher than of one in the bottom 20 percent. The Gini index in countries that enjoyed democratic regimes for at least ten years ranged from 25.91 in Spain (at expenditure basis; Finland had 26.11 on income basis) to 59.60 in Brazil (income basis).²¹ So the only puzzle is why the poor, equipped with the right to vote, do not take it away from the rich.

Note that during the first half of the nineteenth century almost everyone expected they would. Conservatives agreed with socialists that democracy, specifically universal suffrage and the freedom to form unions, must threaten property. The Scottish philosopher James Mackintosh predicted in 1818 that if the "laborious classes" gain franchise, "a permanent animosity between opinion and property must be the consequence" (cited in Collini, Winch, and Burrow, 1983: 98). David Ricardo was prepared to extend suffrage only "to that part of them [the people] which cannot be supposed to have an interest in overturning the right to property" (*ibid.*: 107). Thomas Macaulay in his speech on the Chartist in 1842 (1900: 263) pictured universal suffrage as "the end of property and thus of all civilization." Eight years later, Karl Marx expressed the same conviction that private property and universal suffrage are incompatible (1952 [1850]: 62). According to his analysis, democracy inevitably "unchains the class struggle": the poor use democracy to expropriate the riches; the rich are threatened and subvert democracy, typically by "abdicating" political power to the permanently organized armed forces. As a result, either capitalism or democracy crumbles. The combination of democracy and capitalism is thus an inherently unstable form of organization of society, "only the political form of revolution of bourgeois society and not its conservative form of life" (1934: 18), "only a spasmodic, exceptional state of things ... impossible as the normal form of society" (1971: 198).

Moreover, this is what most people around the world still expect. The first connotation of "democracy" among most survey respondents in Latin America and Eastern Europe is "social and economic equality": in Chile, 59 percent of respondents expected that democracy would

²¹ These numbers are taken from Deininger and Squire 1996. Income-based measures make the distribution appear less egalitarian than expenditure-based.

attenuate social inequalities (Alaminos 1991), while in Eastern Europe the proportion associating democracy with social equality ranged from 61 percent in Czechoslovakia to 88 percent in Bulgaria (Bruszt and Simon 1991).

There are good reasons they should. Take the median-voter model: each individual is characterized by an endowment of labor or capital, and we can rank all individuals from the poorest to the richest. Individuals vote on the rate of tax to be imposed on incomes generated by supplying these endowments to production. The funds generated by this tax are either equally distributed to all individuals or spent to produce public goods equally valued by all individuals. Once the tax rate is voted on, individuals maximize utility by deciding in a decentralized way how much of their endowments to supply. The median-voter theorem asserts that, when some technical conditions hold, there exists a unique majority rule equilibrium, this equilibrium is the choice of the voter with the median preference, and the voter with the median preference is the one with median income. And when the distribution of incomes is downward skewed, as it always is, majority rule equilibrium is associated with a complete equality of post-fisc (tax and transfer) incomes.

Explanations why this does not happen abound. There were three traditional Marxist explanations (Przeworski 1986): (1) *False consciousness*. Workers and other poor people do not know what is good for them, in some versions because of "ideological domination," in turn rendered possible by the private ownership of the means of ideological production; (2) *Betrayal*. Workers and other poor people are repeatedly betrayed by their leadership, which becomes coopted; (3) *Repression*. Democracy operates only as long as it does not generate outcomes adverse to the interests of the bourgeoisie; if it does, the bourgeoisie seeks recourse to force. Yet the working class has been neither a perpetual dupe nor a chronic sucker nor a passive victim: workers did organize in unions and in many countries as political parties; these organizations have had political projects of their own; they chose strategies and pursued them to victories as well as defeats.

More recent explanations claim that the private ownership of capital limits the range of outcomes that can ensue from the democratic process. According to this argument, dubbed by Przeworski and Wallerstein (1988) "structural dependence of the state on capital," the state, regardless who occupies its heights, elected by whom and with what intentions, is constrained in any capitalist economy by the fact that crucial economic decisions – those affecting employment and investment – are a private prerogative (Block 1977; Lindblom 1977). The argument goes as follows:

- (1) Even if state policies are binding, private economic agents always enjoy some discretion in their decisions. They may be legally prohibited not to engage in some actions, say producing PCBs; they may be forced to allocate a part of their income to collective consumption; or they may be contingently subsidized for some decisions, say for investing. Yet private ownership implies that agents preserve some decisional latitude: most importantly, firms decide whether to employ and to invest, while households decide whether to supply labor services.
- (2) If private agents make decisions to maximize utility and if whatever generates utility is affected by state policy, then so will be the decisions of these agents. Examples abound: income tax makes saving less attractive, insurance makes individuals more likely to take risks, import licenses affect firm size, etc. The degree of sensitivity of individual decisions to the policies depends on the specific policy instruments. Hence, policy instruments are characterized by specific elasticities of supply of productive inputs. Policies are "neutral" when they do not affect the supply of factors.
- (3) If the realization of the objectives of the state depends for whatever reasons on the outcome of decentralized decisions, then any government must anticipate the effect of policies on these decisions when choosing the optimal policy. The state is constrained in choosing policies by the effect of these policies on private decisions. In particular, if redistribution of incomes downwards results in lowering total output, the optimal policy of an egalitarian government stops well short of equality.
- (4) The limitation imposed by private ownership of productive endowments has consequences reaching far beyond the distribution of income. When collective decisions must anticipate their effect on the supply of productive resources, the collectivity cannot reach all the allocations of resources that are feasible given these resources. Whether people want equality, justice, or beauty, they cannot collectively will to implement these goals while fully utilizing the available resources. Thus, private ownership imposes a constraint on "popular sovereignty."

For an application of this argument, return to the median-voter model. If decentralized decisions are sensitive to the tax rate, that is, if taxes generate deadweight losses, informed voters will anticipate this effect and the majority rule equilibrium will stop short of equality. (The most general treatment of this topic is by Aumann and Kurz 1977.) Since perfect equality can be achieved only at the cost of reducing total output, citizens anticipate this constraint when they vote, and the result

is that they vote for tax rates that leave a fair degree of inequality. Similar models were developed with regard to investment decisions of firms by van der Ploeg (1982), Przeworski and Wallerstein (1988), and Barro (1990).

One can cite alternative formulations but the general logic is the same. Whenever private agents respond in a decentralized way to state policies, the policy choice, and the actual allocation of resources and distribution of incomes, are constrained by private decisions. The constraining power of agents with different endowments depends on the magnitude of these endowments and the elasticity with which they are supplied.

Yet while this explanation is certainly plausible, I am not convinced it is true. For one, the evidence concerning the magnitude of deadweight losses tends to be inconclusive: the estimates range from astronomical to minimal.²² Second, since at least on paper policy instruments differ in their effect on factor supply, the puzzle is why governments would ever use inefficient ways of redistributing incomes (Becker 1976 and 1985; Przeworski and Wallerstein 1988). Perhaps the Right has succeeded in convincing poor voters that deadweight losses are larger than they in fact are. Or perhaps right-wing governments deliberately opt for inefficient ways of redistribution to protect their constituency from egalitarian pressures. In either case, the mechanism that stops democracy from redistributing incomes is no longer economic, but either ideological or political.

Yet one more explanation has been recently offered by Roemer (1996b). In his story the redistributive moderation of left-wing parties is due to the multidimensionality of the issue space in which voters locate themselves: left-wing parties are afraid of repelling by their economic program voters who may be attracted to them on other grounds, say anti-clericalism. Whether this is a better or a sufficient explanation, I do not know.

That democracy is compatible with a fair degree of inequality is obvious; why it is so remains perplexing.

In defense of minimalism

It thus seems that choosing rulers by elections does not assure either rationality, or representation, or equality. Moreover, I am inclined to

²² Browning and Johnson (1984) calculated that the marginal deadweight loss of taxation in the United States is \$9.31: an additional dollar in taxes would lower the total output by this amount. Laffont and Tirole (1994) take \$1.30 as the ballpark number for the shadow price of public funds. Yet many econometric studies – too many to be cited – find no effect of minimum wages on employment, of wages and taxes on labor supply of full-age males, or of tax rates on savings.

expect that similar analyses would lead to negative results with regard to several other normatively desirable and politically desired criteria. Roemer (1996a), for one, concluded that there are no reasons to expect that voting would lead to an implementation of any criteria of justice. Przeworski and Limongi (1997a) discovered that average economic performance is not better in systems with contested elections than under various species of dictatorship. So it seems that a minimalist conception of democracy is just that: minimalist.

These findings may be less weighty than they appear. After all, I have treated elections in isolation from several institutional features that characterize modern democracies, in particular, separation of powers, with the attendant mechanisms of checks and balances, as well as constitutionalism. Perhaps if I had provided a richer institutional description, we would have arrived at different conclusions: Persson, Roland, and Tabellini (1996), for example, developed a model in which separation of powers assures that governments are representative even when voters are ill-informed.²³ Moreover, rationality, representation, and equality are matters of degree: perhaps many decisions about matters of common interest are rational, perhaps most governments seek to do what they think is best for the public, perhaps the observed degree of inequality is largely a result of efforts rather than of luck. I am happy to accept these possibilities. Conversely, nothing I said should prevent us from embracing the Churchillian view that democracy is more rational, more representative, and more egalitarian than dictatorship *tout court* or its various species.

Yet suppose this is all there is to democracy: that rulers are elected. Is it little? It depends on the point of departure.²⁴ If one begins with a vision of a basic harmony of interests, a common good to be discovered and agreed to by a rational deliberation, and to be represented as the view of the informed majority, the fact that rulers are elected is of no particular significance. Voting is just a time-saving expedient (Buchanan and Tullock 1962) and majority rule is just a technically convenient way of identifying what everyone would or should have agreed to. Yet if the point of departure is that in any society there are conflicts, of values and of interests, electing rulers appears nothing short of miraculous.

Let us put the consensualist view of democracy where it belongs – in the Museum of Eighteenth-century Thought – and observe that all societies are ridden with economic, cultural, or moral conflicts. True, as the modernization theory (notably Coser 1959) emphasized, these

²³ Their model is less than persuasive, however, since it leaves no room for political parties, which can serve as a mechanism of collusion between powers.

²⁴ Shapiro (1996: 82) also takes this position.

conflicts can be “cross-cutting”: they need not pit class against class or religion against religion. They can be attenuated by an “overlapping consensus”: consensus about practicalities compatible with differences of values (Rawls 1993). They may be also moderated by public discussion of both normative and technical reasons, although, as I have argued above, deliberation is a two-edged sword, for it may lead just to solidifying conflicting views. Yet in the end, when all the coalitions have been formed, the practical consensus has been elaborated, and all arguments have been exhausted, conflicts remain.

My defense of the minimalist conception proceeds in two steps. I take it as obvious that we want to avoid bloodshed, resolving conflicts through violence.²⁵ Starting with this assumption, I first argue that the mere possibility of being able to change governments can avoid violence. Secondly, I argue that being able to do it by voting has consequences of its own.

Popper's defense of democracy is that it allows us to get rid of governments peacefully. But why should we care about changing governments?²⁶ My answer is that the very prospect that governments may change can result in a peaceful regulation of conflicts. To see this argument in its starkest form, assume that governments are selected by a toss of a, not necessarily fair, coin: “heads” mean that the incumbents should remain in office, “tails” that they should leave. Thus, a reading of the toss designates “winners” and “losers.” This designation is an *instruction* what the winners and the losers should and should not do: the winners should move into a White or Pink House or perhaps even a *palacio*; while there they can take everything up to the constitutional constraint for themselves and their supporters, and they should toss the same coin again when their term is up. The losers should not move into the House and should accept getting not more than whatever is left.

Note that when the authorization to rule is determined by a lottery, citizens have no electoral sanction, prospective or retrospective, and the incumbents have no electoral incentives to behave well while in office. Since electing governments by a lottery makes their chances of survival independent of their conduct, there are no reasons to expect that governments act in a representative fashion because they want to earn re-election: any link between elections and representation is severed.

Yet the very prospect that governments would alternate may induce the conflicting political forces to comply with the rules rather than engage in violence, for the following reason. Although the losers would

²⁵ I am not arguing against Locke that violence is never justified, just that a system that systematically avoids it is preferable to one that does not.

²⁶ I want to thank Ignacio Sanchez-Cuenca for posing this question.

be better off in the short run rebelling rather than accepting the outcome of the current round, if they have a sufficient chance to win and a sufficiently large payoff in the future rounds, they are better off continuing to comply with the verdict of the coin toss rather than fighting for power. Similarly, while the winners would be better off in the short run not tossing the coin again, they may be better off in the long run peacefully leaving office rather than provoking violent resistance to their usurpation of power. Regulating conflicts by a coin toss is then a self-enforcing equilibrium (Przeworski 1991: chap. 1). Bloodshed is avoided by the mere fact that, à la Aristotle, the political forces expect to take turns.

Suppose first that the winners of the coin toss get some predetermined part of the pie, $1/2 < x < 1$, while losers get the rest.²⁷ Winners decide at each time whether to hold elections at the next time and losers whether to accept defeat or to rebel. If democracy is repeated indefinitely from $t = 0$ on, the winner at $t = 0$ expects to get $D_W = x + V_W(e, x)$ and the loser at $t = 0$ expects to get $D_L = (1 - x) + V_L(1 - e, x)$, where V stands for the present value of continuing under democracy beyond the current round, e is the probability the current incumbent will win the next toss. Let “democratic equilibrium” stand for a pair of strategies in which the current winners always hold tosses if they expect losers to comply and the current losers always comply if they expect the winners to hold tosses. Then such an equilibrium exists if everyone is better off under democracy than under rebellion: if $D_W > R_W$ and $D_L > R_L$, where R stands for the expected values of violent conflict for each of the two parties.

Moreover, the prospect of alternation may induce moderation while in office. Suppose that the current incumbent can either manipulate the probability, e , of being re-elected or can decide what share of the pie, $x \in [0, 1]$, to take, or both. There are some initial values $\{e(0), x(0)\}$; at $t = 1$ the coin is tossed and it designates winners and losers. Whoever is the winner now chooses $\{e(1), x(1)\}$: the rules for this round, etc. Hence, rules are not given *ex ante*: the incumbent manipulates them at will. Yet there are conditions under which a democratic equilibrium exists in which the incumbents do not grab everything. If the cost of rebellion is sufficiently high for both, each incumbent will prefer to moderate its behavior while in office under democracy rather than provoke a rebellion by the current loser.

As Hardin (1989: 113) puts it, “for the constitutional case, the ultimate source [of stability] is the internal costs of collective action for

re-coordination or, in Caesar’s word, *mutiny*.” Yet if the threat of mutiny were the only incentive to moderation, why would we ever adopt procedures that subject control over the exercise of rule to a lottery? If the relevant political actors knew what would happen as the result of an open conflict, they could just agree to a distribution that would have resulted from an open confrontation. Instead of a coin toss deciding who gets what, the distribution would be fixed to reflect the strength the conflicting political forces could muster in an open confrontation, x for one, $(1 - x)$ for the other. So why do we have democracy: an agreement to toss a coin with probabilities e and $(1 - e)$?

The reason, in my view, is that it would be impossible to write a dictatorial contract that would specify every contingent state of nature. In turn, leaving the residual control – control over issues not explicitly regulated by contract – to the dictator would generate increasing returns to power and undermine the contract. Endowed with residual control, the dictator could not commit itself not to use the advantage to undermine the strength of the adversaries in an open conflict. Hence, to avoid violence, the conflicting political forces adopt the following device: agree over those issues that can be specified and allow the residual control to alternate according to specified probabilities. In this sense, the constitution specifies x , the limits on incumbents, and e , their chances in electoral competition, but a random device decides who holds residual control.

Yet we do not use random devices; we vote. What difference does that make?

Voting is an imposition of a will over a will. When a decision is reached by voting, some people must submit to an opinion different from theirs or to a decision contrary to their interest.²⁸ Voting authorizes compulsion. It empowers governments, our rulers, to keep people in jail,²⁹ sometimes even to take their life, to seize money from some and give it to others, to regulate private behavior of consenting adults. Voting generates winners and losers, and it authorizes the winners to impose their will, even if within constraints, on the losers. This is what “ruling” is. Bobbio’s (1984: 93) parenthetical addition bares a crucial implication of the Schumpeterian definition: “by ‘democratic system’,” Bobbio says, “I mean one in which supreme power (supreme in so far as it alone is authorized to use force as a last resort) is exerted in the name of and on behalf of the people by virtue of the procedure of elections.”

²⁸ This sentence is a paraphrase of Condorcet (1986 [1785]: 22): “il s’agit, dans une loi qui n’a pas été votée unanimement, de soumettre des hommes à une opinion qui n’est pas la leur, ou à une décision qu’ils croient contraire à leur intérêt.”

²⁹ Indeed, the oldest democracy in the world is also one that keeps more people in jail than any other country in the world.

²⁷ This analysis is based on joint work with James Fearon, still in progress.

It is voting that authorizes coercion, not reasons behind it. Pace Cohen (1997: 5), who claims that the participants "are prepared to cooperate in accordance with the results of such discussion, treating those results as authoritative," it is the result of voting, not of discussion, that authorizes governments to govern, to compel. Deliberation may lead to a decision that is reasoned: it may illuminate the reasons a decision is or should not be taken. Further, these reasons may guide the implementation of the decision, the actions of the government. But if all the reasons have been exhausted and yet there is no unanimity, some people must act against their reasons. They are coerced to do so, and the authorization to coerce them is derived from counting heads, the sheer force of numbers, not from the validity of reasons.

What difference, then, does it make that we vote? One answer to this question is that the right to vote imposes an obligation to respect the results of voting. In this view, democracy persists because people see it as their duty to obey outcomes resulting from a decision process in which they voluntarily participated. Democracy is legitimate in the sense that people are ready to accept decisions of as yet undetermined content, as long as they can participate in the making of these decisions. I do not find this view persuasive, however, either normatively or positively. Clearly, this is not the place to enter into a discussion of a central topic of political theory (Dunn 1996a: chap. 4) but I stand with Kelsen (1998 [1929]: 21) when he observes that "The purely negative assumption that no individual counts more than any other does not permit to deduce the positive principle that the will of the majority should prevail," and I know no evidence to the effect that participation induces compliance.

Yet I think that voting does induce compliance, through a different mechanism. Voting constitutes "flexing muscles": a reading of chances in the eventual war. If all men are equally strong (or armed) then the distribution of vote is a proxy for the outcome of war. Referring to Herodotus, Bryce (1921: 25–6) announces that he uses the concept of democracy "in its old and strict sense, as denoting a government in which the will of the majority of qualified citizens rules, taking qualified citizens to constitute the great bulk of the inhabitants, say, roughly three-fourths, so that physical force of the citizens coincides (*broadly speaking*) with their voting power" (italics supplied). Condorcet claims that this was the reason for adopting majority rule: for the good of peace and general welfare, it was necessary to place authority where lies the force.³⁰ Clearly, once physical force diverges from sheer numbers, when

³⁰ "Lorsque l'usage de soumettre tous les individus à la volonté du plus grand nombre, s'introduisit dans les sociétés, et que les hommes convinrent de regarder la décision de

the ability to wage war becomes professionalized and technical, voting no longer provides a reading of chances in a violent conflict. But voting does reveal information about passions, values, and interests. If elections are a peaceful substitute for rebellion (Hampton 1994), it is because they inform everyone who would mutiny and against what. They inform the losers – "Here is the distribution of force: if you disobey the instructions conveyed by the results of the election, I will be more likely to beat you than you will be able to beat me in a violent confrontation" – and the winners – "If you do not hold elections again or if you grab too much, I will be able to put up a forbidding resistance." Dictatorships do not generate this information; they need secret police to find out. In democracies, even if voting does not reveal a unique collective will, it does indicate limits to rule. Why else would we interpret participation as an indication of legitimacy, why would we be concerned about support for extremist parties?

In the end, the miracle of democracy is that conflicting political forces obey the results of voting. People who have guns obey those without them. Incumbents risk their control of governmental offices by holding elections. Losers wait for their chance to win office. Conflicts are regulated, processed according to rules, and thus limited. This is not consensus, yet not mayhem either. Just limited conflict; conflict without killing. Ballots are "paper stones," as Engels once observed.

Yet this miracle does not work under all conditions.³¹ The expected life of democracy in a country with per capita income under \$1,000 is about eight years.³² Between \$1,001 and \$2,000, an average democracy can expect to endure eighteen years. But above \$6,000, democracies last forever. Indeed, no democracy ever fell, regardless of everything else, in a country with a per capita income higher than that of Argentina in 1976: \$6,055. Thus Lipset (1959: 46) was undoubtedly correct when he argued that "The more well-to-do a country, the greater the chance that it will sustain democracy."

Several other factors affect the survival of democracies but they all pale in comparison to per capita income. Two are particularly relevant. First, it turns out that democracies are more likely to fall when one party controls a large share (more than two-thirds) of seats in the legislature.

la pluralité comme la volonté de tous, ils n'adoptèrent pas cette méthode comme un moyen d'éviter l'erreur et de se conduire d'après des décisions fondées sur la vérité: mais ils trouvèrent que, pour le bien de la paix et l'utilité générale, il falloit placer l'autorité où étoit la force" (Condorcet 1986 [1785]: 11; italics supplied).

³¹ The forthcoming paragraphs are based on Przeworski, Alvarez, Cheibub, and Limongi 1996, and Przeworski and Limongi 1997b.

³² Expected life is the inverse of the probability of dying. The income numbers are in purchasing power parity international dollars of 1985.

Secondly, democracies are most stable when the heads of governments change not too infrequently, more often than once every five years (although not as often as less than every two years). Thus, democracy is more likely to survive when no single force dominates politics completely and permanently.

Finally, the stability of democracies does depend on their particular institutional arrangements: parliamentary democracies are much more durable than pure presidential ones. The expected life of democracy under presidentialism is twenty-one years, while under parliamentarism it is seventy-two years. Presidential systems are less stable under any distribution of seats; indeed, they are less stable whatever variable is controlled for. The most likely reason presidential democracies are more fragile than parliamentary ones is that presidents rarely change because they are defeated in elections. Most of them leave office because they are obligated to do so by constitutionally imposed term limits. In turn, whenever incumbent presidents can run and do, two out of three win re-election (Cheibub and Przeworski 1996). Presidentialism thus appears to give an excessive advantage to incumbents when they are legally permitted to run for re-election and, in turn, to prevent the incumbents from exploiting this advantage, it obligates them to leave office whether or not voters want them to stay.

Here then are three facts: (1) democracies are more likely to survive in wealthy countries; (2) they are more likely to last when no single political force dominates; and (3) they are more likely to endure when voters can choose rulers through elections. And these facts add up: democracy lasts when it offers an opportunity to the conflicting forces to advance their interests within the institutional framework.

In the end then, the Popperian posture is not sufficient, because democracy endures only under some conditions. Elections alone are not sufficient for conflicts to be resolved through elections. And while some of these conditions are economic, others are political and institutional. Thus, a minimalist conception of democracy does not alleviate the need for thinking about institutional design. In the end, the "quality of democracy," to use the currently fashionable phrase, does matter for its very survival. But my point is not that democracy can be, needs to be, improved, but that it would be worth defending even if it could not be.

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